

US diesel export curb odds fall to 40%

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Daily Brief

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summary

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Saudi Arabia's planned intensification of its air campaign against the Houthis raises oil disruption risks, likely keeping Brent crude between \$90–\$110 per barrel.

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EG lowered odds of a US-China bilateral breakdown before year-end to 15% from 30%, after leaders renewed their commitment to stable relations.

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With Washington explicitly anti-regulation, AI boom debt structures leave a large and poorly understood risk building in the financial system.

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Countries and sectors in this edition of the Daily Brief include the US, Argentina, Brazil, China, Iran, Saudi Arabia, energy, geoeconomics, geo-technology, and oil.

the top line

US, Energy—Export restrictions now unlikely in US response to diesel prices

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US diesel export curbs are now only 40% likely in early October, from 65%, after the math flipped primarily due to sharp market reactions. The confused and slightly chaotic internal debate, however, leaves all options at least partially on the table.

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Secretary of Energy Chris Wright continues to pressure refiners to agree to voluntary export reductions, and the White House will likely include the proposal early this week. These reductions are not enforceable and would create legal risk for refiners if implemented—both points suggest they will not have a significant effect.

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Domestic policy changes and diplomatic pressure on the EU to utilize its own refined product reserves are most likely to come to fruition, but unlikely to bring diesel prices down sufficiently to mollify groups demanding immediate relief. That means the market-rattling idea of export curbs will likely resurface if prices continue to move higher.

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Read more [here](#) and read our conference call notes [here](#) . Reach out to discuss: unitedstates@eurasiagroup.net .

US, Energy—Chart of the Day

MENA Crisis, Oil—Likely Saudi-Houthi escalation raises risk of oil disruptions

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With Riyadh preparing to intensify its air campaign and support for Yemeni government forces after recent Houthi battlefield gains and attacks on Saudi cities and infrastructure, the limited Saudi-Houthi conflict (25%, down from 55%) of the last few months is giving way to a major escalation between the two sides (60%).

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The intensifying conflict will increase risks to Saudi and regional energy exports, as Houthi and Iran-backed Iraqi militia attacks increase, likely keeping Brent around \$90–\$110 per barrel, with upside risk from larger export disruptions.

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Escalation could further strain US-Saudi relations, especially if Riyadh presses for direct US military support in Yemen and Washington demurs, while the less likely scenario of an Iran-backed compromise (15%) would accelerate the diversification of Saudi Arabia's ties away from the United States.

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Read more [here](#) . Reach out to discuss: mena@eurasiagroup.net .

China, US—Summit lowers odds of year-end bilateral breakdown

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EG is lowering the odds of a US-China truce breakdown before year-end to 15% from 30%, following the leaders' renewed commitment to preserving stable bilateral relations.

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Washington and Beijing remain constrained by reciprocal economic leverage, particularly China's rare-earth coercive capacity which—alongside Beijing's interest in stability ahead of its 2027 Party Congress—underpins the managed-stability basecase.

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The prospective AI safety dialogue signals that the Trump administration will likely defer major technology controls, and while upcoming meetings and delayed Taiwan arms sales should further contain escalation, US decoupling actions may still prompt Chinese retaliation.

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Read more [here](#) . Reach out to discuss: china@eurasiagroup.net .

US, Geoeconomics, Geo-technology—US regulatory complacency allows financial risks to build in AI boom

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The investment boom in AI infrastructure is built on hopes for a more efficient future and the resulting massive income flows that will more than justify the current outlays. The fast-moving situation calls for regulators who are nimble enough to stay out of the way of technological progress while continuing to protect the financial system from potential disaster.

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With the White House explicitly anti-regulation and Congress unlikely to act, regulators have been doing little as financial risks build. The Securities and Exchange Commission recently moved in the opposite direction, exempting data center asset-backed securities from disclosure requirements and risk-retention rules.

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Besides borrowings measured in trillions of dollars and off-balance-sheet commitments and circular deals obscuring risk exposure, debt securitization and tranching further magnify risks. A large and poorly understood risk is building in the US financial system and economy, while the government has shown little sign of leadership on regulatory oversight.

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Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net .

eg in depth

Argentina—Pending reforms expected to advance despite electoral considerations: Argentina's Senate approval of two government priorities—central bank charter changes and a Cold Zones gas subsidy reform—demonstrate President Javier Milei's ability to build majorities even as political actors focus on the October 2027 general elections. The central bank reform, amended to ease requirements for appointing and removing bank leadership, would make preserving currency value the bank's primary objective and limit monetary financing, returns to the lower house for final approval. The Cold Zones reform, approved by a solid margin, narrows eligibility for subsidized gas tariffs to generate fiscal savings, though higher utility bills will contribute to affected voters' concerns about real income. The votes point to still solid governability conditions in congress, which bodes well for the 2027 budget, a new large investment scheme, and electoral reform, even if the administration will need to make concessions to ensure allies' support. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Brazil, US—US has limited potential to influence Brazil's election: Brasilia's fear that Washington will target Brazil's October election overstates the US's actual leverage, despite Trump's combative UN speech. Washington's tools to shape Brazil's electoral outcome are limited, and risk backfiring on opposition candidate Flavio Bolsonaro—the US State Department has withheld new Magnitsky sanctions, judging that such a move could consolidate President Luiz Inacio Lula da Silva's support. Unilateral US military operations on Brazilian borders or soil remain extremely unlikely even if Lula wins reelection—the US lacks a comprehensive Brazil strategy and personal rapport between Lula and Trump will likely limit appetite for sustained pressure. Read more here . Reach out to discuss: brazil@eurasiagroup.net .

Upcoming events:

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29 September: Events: US import bans on certain Canadian products take effect; Data: Eurozone economic and consumer confidence, US Conference Board consumer confidence and JOLTS job openings; Central bank decision: Australia.

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30 September: Data: China PMIs, France, Germany, Italy, and Poland CPI, Japan and South Korea industrial production, Russia unemployment, US consumer income, PCE price index, GDP, and ADP employment change; Central bank decision: Colombia.

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1 October: Events: Hong Kong and China markets close through 7 October for China's National Day; Data: Indonesia, South Korea manufacturing PMI, Eurozone unemployment, US construction spending, and ISM manufacturing.

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2 October: Data: Brazil industrial production, Eurozone CPI, Japan unemployment, Russia GDP, US unemployment, nonfarm payrolls, and factory orders.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

"I reject their proposal"—Trump told reporters on 26 September, referring to Iran's offer of a seven-day ceasefire proposal to reopen the Strait of Hormuz and start broader talks to end the conflict.

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